

Fingers crossed

Bizarrely, even the contracts between banks and people they lend money to are regarded as derivatives that can be bought and sold. Like a forward contract to buy or sell a commodity, the loan agreement is a contract to pay by a certain time. So, the bank can sell this debt owing to them as a “financial product.” Derivatives themselves, because they are traded, also involve agreements between buyers and sellers, which can become derivatives of derivatives, in a market that is becoming ever more complex. But even though the buying and selling of derivatives can be bewildering—even to economists—the basic concept is simple. In any agreement to buy or sell at a future date, both sides hope the price they agreed on will change in their favor, or at least stay the same.

**... NO ONE UNDERSTANDS CREDIT DEFAULT
OBLIGATIONS AND DERIVATIVES, EXCEPT
PERHAPS MR. BUFFET AND THE COMPUTERS
WHO CREATED THEM.**

RICHARD DOOLING, US NOVELIST